Aggregate Bond Index, and US-Dollar Index. In Panel B, The Value and Momentum Everywhere (Asness et al., 2013) factor regressions are run to examine the risk exposure of the four decomposed strategies.

In general, we observe approximately 30–40% changes in most of these trend-following reversal strategies, owing to changes in the stock market as proxied by MSCI. One special case is that the contrarian loser strategies reduce this change to approximately 20% or even less. In both Fama–French three-factor and five-factor models, the remaining factors (SMB, HML RMW and CMA) explain very little of the changes in these sub-portfolio returns. Overall, the realised winners and the contrarian losers still generate statistically significant alphas which are not explained by the model.

Next, as shown in Table 5 Panel A, the global asset class factor models allow us to examine the sensitivity of these sub-portfolios to changes in the international major asset class indices. It is clear that the model explains the realised winner returns better than the others, with R^2 values being above 30%. With the exception of USDI, most coefficients of the factors are statistically significant at the 5% and 1% levels. It can be argued that this is due to the fact that bond futures play a prominent role in the time series reversal portfolios and, therefore, are over-explained by the bond index. The addition of more market factors results in a better goodness-of-fit but a lower alpha for the realised winner. This is because the realised portfolios are somewhat explained by the market factors whereas the contrarian portfolios -which go against the momentum- are not. Despite of its lower alpha, the contrarian loser still displays statistically significant alpha for TSM (t=1.73), but this is not the case for RSM.

Finally, in Table 5 Panel B, we regress the four sub-portfolio returns on the Value and Momentum Everywhere factors. Unsurprisingly, these sub-strategies are closely correlated to the movement of the market factor, and both the VAL and MOM factors. The realised winner and the contrarian loser show stronger abnormal returns compared to the other two subgroups, with alphas being statistically significant at the 1% level across all the three strategies.

To conclude, we see that trend-following reversal returns are closely related to the

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